

ENTREPRENEURIAL OPPORTUNITIES

Procedures of Starting a Business

- ✓ Identification of a business idea
- ✓ Development of a business plan
- ✓ Location of a business demand evaluation
- ✓ Registration of the business
- ✓ Choice of the business organization
- ✓ Business name
- ✓ Trading licences / permit
- ✓ Start-up and management of the business.
- ✓ All entrepreneurs are business people – though not all business people are entrepreneurs.
- ✓ Entrepreneurs tend to be more innovative than ordinary business people and end up developing a business plans.

Means of Generating a Business Idea

- a) identifying a need
 - b) brainstorming
 - c) building on ones skill, hobbies or interests
 - d) spotting a market niche
 - e) listening to what people say
 - f) attribute listening
 - g) gaining from waste
 - h) look to see and listen to hear
 - i) research
 - j) importing an idea
 - k) day dreaming
 - l) Spin off from employment. **Identifying a Need**
- ✓ A need can be an opportunity and indeed a consumer buys to satisfy need. Abraham Maslow in his humanistic hierarchy of needs, physical needs to very high personalized needs.
 - ✓ Therefore identifying an unidentified or unserved need is a sure way of generating business ideas. **Brain Storming**
 - ✓ This is a process of detaching analysis of an idea from the actual ideas.
 - ✓ The idea may or may not be related to a given product. In brainstorming even silly and stupid ideas may be generated.

Building on One's Skill, Hobbies or Interests

- ✓ Business ideas can be generated through
 - a. personal interests and hobbies
 - b. Copying or improving somebody's ideas. (skills)

Sporting a Market Niche

- ✓ Entrepreneurs usually look for gaps in the growing markets, identifying market sections which are not being utilized.

Listening to what People say.

- ✓ These are people who simply say or speak their needs e.g if these good bus services
- Attribute listening**
- ✓ This method of generating business ideas is based on changing the way one looks at something in order to find a new use for it.
- ✓ It attempts to answer the question – what do we do with this product.

Gaining from Waste

- ✓ What would appear waste can be used- say recycles to create a new opportunity. **Others**
- By** soliciting ideas by interview, reading, observations, listening

The Process of Screening a Business Idea.

- ✓ After generating business ideas- it is important that some evaluation through a screening process be made.
- ✓ The screening process is a systematic evaluation ideas in order to select the best idea which would suit one.
- ✓ The screening process must be done carefully, objectively, soberly and without any emotions.
- ✓ The business idea screening is required even when there is only one idea to consider. This is because this is a stage of starting a business that may be not be profitable or may be difficult to run
- ✓ The screening process must therefore evaluate the following

a)Personal Evaluation

- the objective for going to business
- personal interests
- The degree of commitment to the business or others e.g. family.

b)Personal Skills

- The self SWOT analysis – this aims at analyzing ones
 - a. Strengths
 - b. Weaknesses
 - c. Opportunities
 - d. Treats
- “Strengths” and “Weaknesses” should focus on the internal environment (management, product/service), whilst “Opportunities” and “Threats” should focus on the external environment (economy, market and competitors).
- Clearly, it is important that your business idea has significant strengths (or can develop them) and a plan to counter to any weaknesses. Your business idea should be developed to take advantage of any opportunities and thought should be given to how you would respond to threats.
- A SWOT analysis should provide proof to you, your investors and funders etc., of the likelihood of your business succeeding or failing. If your analysis suggests it will fail you need to reconsider your idea.

The screening process or evaluation helps identify;

- Strengths: E.g. Distinctive competence, Adequate finances, Access to economies of scale, Good innovation ability, proven management

- Weakness: E.g. Lack of key skill , Internal operations problems , Low morale , Poor track records , Weak internal image
- Opportunities: E.g. Potential customers , Potential goodwill , A favorable social environment
- Threats: Strong competitions , Adverse government policies, Political instability, mismanaged economy , Unfavorable legislation

d) Market evaluations

- ✦ The aim is to create assurance of adequate market
- ✦ The main components include
 - i.) Consumer demand analysis
 - ii.) Product price and placements
 - iii.) No. of competitors in markets.

e) An analysis of availability of raw materials in terms of

- i) Adequacy ii) Reliability iii) Price

f) Analysis of providing technology in terms of

- i) Appropriateness ii) Affordability

g) An analysis of skills available

h) Analysis of the government policies.

Characteristics of a Good Business idea.

- i) Easy to manage and involve minimal risk. ii) Does not require excessive capital investments iii) Offers a good returns on capital iv) The idea has scope for growth, expansion and diversification v) Comparative with owner's goal and interest vi) Not against expectation of the society vii) Has a short gestation period viii) Has a readily available market ix) Easy to exit when necessary.

The sources of new ideas

- ✓ Some of the more frequently used sources of business ideas for entrepreneurs include.
 - i.) Consumers

Potential entrepreneurs not only pay attention to potential customers but also monitor their potential needs through allowing the customers to express their opinions.
 - ii.) Existing products and services

Through monitoring and evaluating competitive products and services.
 - iii.) Distribution channels

Contact with members of the distribution channels since they are familiar with the needs of the market and give suggestions of new products and consumer needs.
 - iv.) Government

Can be a source of a business idea through

 - a) The patent office which contains numerous product possibilities.
 - b) Official government magazines
 - c) Government regulatory bodies e.g KBS
 - d) Government shows and exhibitions
 - v.) Research and development

a. Is the largest source of new ideas to the entrepreneur.
 - vi.) Education – i.e picking a given line of study e.g construction, Vocational training programmes and experience.

- vii.) Personal hobbies especially for craft entrepreneurs.
- viii.) Personal contacts and observations through.
Interactions, Newspapers and magazines.
- ix.) Conducting surveys and interviews of the people around.

Definition of a Business Opportunity

- ✓ A business opportunity may be defined as an attractive project idea Which an entrepreneur accepts for investment on the basis of what is known about the possible success for the project
- ✓ A real business opportunity can be distinguished from a mere possibility through the following two ingredients.
 - i. A good market scope
 - ii. An attractive return on investment (profit) **Qualities**

(Characteristics) of a Good Business Opportunity:

The following are qualities of a good business opportunity.

- aDemand – there should exist a good market scope bReturns on investment
– i.e the business should be sufficiently profitable.
- cAvailability of raw materials
- dEnough skilled people.

Evaluation of Business Opportunities (objectives of a pre-feasibility study)

- ✓ Once a business opportunity has been identified one needs to confirm that it is viable through a pre-feasibility study.
- ✓ The main objective of a feasibility study is to determine whether.
 - aThe investment opportunity is promising enough bThe project is viable from the marketing manufacturing and other points of view.
 - cAny aspect of the project that may be crucial to call for indepth analysis.

The Purpose of Pre-feasibility Study (Market Research)

- i.) To verify that the investment opportunity is promising enough to make a firm decision.
- ii.) To confirm that the project is viable from the
 - a. Marketing
 - b. Manufacturing and
 - c. Other points of view
- iii.) To identify any aspects of the project that is critical or crucial enough to call for in depth analysis
- iv.) To acquire comprehensive technical, economic and commercial data for the final investment decision.
- v.) To enable an in-depth study of aspects such as
Market potential, Technical requirements, Managerial ability, financial projections and analysis, Risks evaluation, Business environmental analysis.
- vi.) To enable sourcing reliable information such as
 - a. Authorized publications
 - b. Consultant's openings.
- vii.) To establish the final outcome of whether or not to proceed with the business.

Business Incubation

- ✓ Business incubation is the process of nurturing small and start – up initiatives or business to relative maturity to become self-sustaining business, healthy and wealth-generating entities.
- ✓ The failure rate of any start-up business stands at 90% globally.
- ✓ The main causes of business failure;

- i) Insufficient capital for start-up. ii) Insufficient knowledge of business and industry. iii) Lack of Entrepreneurial and business skills. iv) Lack of Managerial skills. v) Inadequate Training. vi) Lack of credit facilities. vii) Lack of markets. viii) Insufficient knowledge of markets. Inadequate infrastructure.
- ii) Non-Empowering political environment.
- ✓ For these reasons, many businesses which are ill-equipped do not survive. A business incubator is important for precisely those reasons above to provide these support services.
- ✓ Statistics show that the success rate for incubated businesses initiatives is very high (over 80%) are bound to succeed.

The Incubation Process

- ✓ The business incubation programmes are designed to accelerate successful development of entrepreneurial companies through an a vary of support resources and services.
- ✓ Incubators vary in the way they deliver their services in their organizational structure and in the types of clients they serve.
- ✓ Business incubators differ from research and technology in their dedication to start-up and early stage businesses.
- ✓ Research and Technology institutes tend to be large scale projects that house everything from corporate government or university labs to very small companies.
- ✓ The research institutions do not offer business assistance services which are the main objective of business incubation.
- ✓ Unlike many business assistance programmes business incubators do not serve any and all companies.
- ✓ Entrepreneurs who may wish to enter a business incubation program must apply for admission.
- ✓ Acceptance criteria vary from program to program but in general only those with feasible business ideas and workable business plan are admitted.
- ✓ The time a company spends in an incubation programme vary widely depending on a number of factors, including the type of business and the Entrepreneur's level of business Expertise.

The Benefits of Incubation.

- ✓ Creating jobs and wealth
- ✓ Fosters a community's Entrepreneurial climate - Technology commercialization.
- ✓ Diversification of Local Resource.
- ✓ Acceleration of local development.
- ✓ Facilitation of Business creation and growth.
- ✓ Encouraging entrepreneurship especially women.
- ✓ Revitalization of the community as a whole.
- ✓ Growth of Private Sector Investment.
- ✓ Increased Tax Revenue.
- ✓ Equitable Development.

Government Roles in Promoting Incubation

- i.) Creation of an enabling environment through;
 - i. Purchasing consumer products.
 - ii. Support programmes financially of the incubation process.
- ii.) Government policy to buy from incubators. iii.) Give small scale businesses loans and grants. iv.) Launch campaign to sensitize the private sector to work with business incubation initiative.

- v.) Take a lead role in the incubation process.
- vi.) Assist in the coordination, encouraging and streamlining the efforts of incubation at National level.
- vii.) Lobby and Rally with Kenyans in Diaspora together with developing partners to support business Incubation.
- viii.) To encourage coordination of independent efforts country-wide for better synergy and a more effective Natural impact
- ix.) To rally universities and other research institutions behind the concept to facilitate research and development in order to enrich business incubation
- x.) To provide support to business incubation initiative by providing morale support through Media Initiatives.

Protections of Business ideas & maintaining Secrecy

- ✓ Most entrepreneurs will not be inventors, at least not in the classic sense but all entrepreneurs are concerned with protecting their business ideas, especially when those ideas are related to;
 - Unusual production
 - Unique designs etc.
- ✓ And for this to be done understand the “patent law” becomes but simply paramount
- ✓ When entrepreneurs want to protect unusual brand name, products business ideas or simply establishing ownership, then understanding trademarks and copyrights is vital as a way of protecting a business idea.
- ✓ The government law pertaining to;
 - Patents
 - Trademarks
 - Copyrights – are not complicated
- ✓ Many entrepreneurs file their own patent claims or prepare documentation for trademark or copyright protection without professional help from the Attorney or patent agents.
- ✓ However it is always wise to have professional assistance though the laws are simple.

Ways of Protecting Business ideas a) A patent

- ✓ A patent is a grant of property right by the government to an inventor. It is issued through the commissioner of patent rights, and the most common type of patent is called a utility patent. All patents however, have the distinction of being assets with a commercial value because they provide exclusive rights of ownership to the patent holders.
- ✓ Patents are exclusive property rights that can be sold, transferred, or used as collateral much alike other valuable assets.
- ✓ The patent law stipulates broad categories of what can and cannot be patented and in the words of the statute any person who “invents or discovers any new and useful process, machine manufacture, or composition of matter, or any new and useful improvements thereof may obtain a patent”
- ✓ Anything that is patentable must be new and useful (must have some demonstrated function)

Trademarks

- ✓ Trademarks include any word, name, symbol or distinguishing device or any combination thereof adopted and used by a manufacturer or merchant to identify his goods and distinguish them from those manufactured or sold by others.
- ✓ Trade-marks can be names used in commerce such as KCA it can be a symbol or any distinguishing device artistic in nature.
- ✓ An important qualification for a trademark is that mark, name etc. must be used commercially.

Service mark Is similar to a trademark and can be registered in the same way with the same protection. A service mark can be a name, wording used in advertising symbols or artistic figures that create a distinctive service concept.

2.4.10 Copyrights

- ✓ Are similar to patents in establishing ownership and protection for creative ideas but they pertain to the intellectual property.
- ✓ The copyright is distinct from patents and trademarks in that intellectual property is protected for the life of the originator plus a further 50 years.
- ✓ This protection affords an extraordinary property right and substantial estates. It extends protection to author, composers and artists.

2.4.12 Trade Secrets

- Are proprietary information used in the course of business to gain an advantage in manufacturing or commercialization of products or services. ✓ Trade secrets i) formulas ii) patterns iii) list of customers iv) data bases v) chemical compounds vi) combinations of ingredients for commercial products vii) process of manufacturing viii) Compiled information.
- Every organization must keep their secrets because
 - Modern communications systems contain so much information which if not guarded, the business may collapse.
 - Employees leaving may disseminate information to competitors.
 - In any business to maintain a market Niche, then desire to protect their product.

2.4.13 Trade Secrets

In certain instances the entrepreneur may prefer to maintain an idea or process as confidential, and eventually sell or license it as a trade secret.

- ✓ The trade secret will have a life as long as the idea or process remains secret.
- ✓ A trade secret is not covered by any law but is recognized under a governing body.
- ✓ Employees involved in working with an idea or process may be asked to first sign a confidential information agreement that will protect against their giving out the trade secret either while as employees or when leaving the organization – this is called trade secret non-disclosure agreement.
- ✓ Most entrepreneurs have limited resources so they choose not to find means of protecting their ideas or products or services.

2.4.15 Licensing

- ✓ Licensing may be defined as an agreement between two parties, where one party has proprietary rights over some information, process or technology protected by a patent, trademark or copyright.
- ✓ This arrangement specified in a contract requires the licensee to pay royalty or some other specified sum to the holder of the proprietary rights in return for permission to copy the patent trade mark or copyright.
- ✓ Licensing has significance as a marketing strategy to holders of patents, trademarks or copyrights to grow their business in a new market when they lack resources or experiences in such markets.
- ✓ It is also an important marketing strategy for entrepreneurs who wish to start a new venture but need permission to a copy or incorporate the patent trademark or copyright with the ideas.

2.5 Product Safety and Liability

- ✓ It is very important for the entrepreneur to assess whether any product that is to be marketed in the new venture is subject to any regulations under the consumer product.
- ✓ In addition to setting standards for products the commission also has a great deal of responsibility and power to identify what to consider being a substantial hazard and barring any products that may be considered unsafe.
- ✓ Any products introduced by entrepreneurs must obtain clearance from the Kenya bureau of standards under the consumer's protection Act.

ENTREPRENEURIAL MOTIVATION

- Entrepreneur motivation is the drives, the desires, the need to achieve or fulfil certain entrepreneurial needs.
- Motivation is that which causes you to behave in the way you behave i.e. the why of behavior
- Entrepreneurial motivation are those factors and forces or events that energizes an individual, his desires and the needs to go into and sustain a business venture.
- Types of motivation;
 - a) Internal Motivation Factors
 - b) External Motivation Factors
- Internal Motivations and Drives
 - ✓ Refers to those personal traits and desires that induce a person to become an entrepreneur. Such motivations are;
 - i. Employment Creation Need.
 - ii. Need for independence or self-Reliance: one may want to be one's own boss especially if one doesn't like taking orders from others. You may also want to be in control of your own destiny (internal locus of control) making your own business decisions, using your time maximally.
 - iii. Need for Power: Need to exercise power over others and need to control others. People with a high need for power have a greater concern for exercising influence and control.
 - iv. Need for Recognition: We normally strive to get recognition about our achievement in life, by our peers, family and society. If you aspire to be recognized, then this could be an important drive for you to go into selfemployment
 - v. Need for Security: All men thrive to be free from anxiety;
 - Anxiety about our very survival
 - Survival of our near dearest
 - Anxiety about the future, both for ourselves as well as for our families

It is for this reason that we all strive to maximize our returns, wage employment may not meet this anxiety especially if we are not pensionable.
 - vi. Self-actualization need;

Refers to the need to accomplish that which you as a person is capable of achieving, the need to be unique. Through entrepreneurial activities and with dedication and commitment, you can realize this need, a need that is